IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD
COURT - 2

ITEM No.304

CA(CAA)/36(AHM)2023

Order under Section 230-232 of Co. Act, 2013

IN THE MATTER OF:

Sarabhai Chemicals (India) Pvt. Ltd **.....Applicant**
(Demerged Co.)
Asence Pharma Pvt Ltd
(Resulting Co.)

Order delivered on 31/07/2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)
Mr. Ajai Das Mehrotra, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of order.

The order is pronounced in open Court vide separate sheet.

-SD-

AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-SD-

SHAMMI KHAN
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
(COURT NO. II)

CA (CAA) 36/AHM/2023

IN THE MATTER OF THE COMPANIES ACT, 2013
[In the matter of Section 230 and 231 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013]

SCHEME OF ARRANGEMENT

BETWEEN

SARABHAI CHEMICALS (INDIA) PRIVATE LIMITED,
(Applicant Demerged Company)

AND

ASENCE PHARMA PRIVATE LIMITED,
(Applicant Resulting Company)

AND

Their Respective Shareholders and Creditors

Order Pronounced on: 31.07.2023

Coram:
SHAMMI KHAN,
HON'BLE MEMBER (JUDICIAL)
AJAI DAS MEHROTRA,
HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

SARABHAI CHEMICALS (INDIA) PRIVATE LIMITED,
(CIN: U24231GJ2004PTC043478)
Registered office at;
Shantisadan, Mirzapur Road,
Ahmedabad-380 001, Gujarat.

…Applicant Demerged Company

AND

ASENCE PHARMA PRIVATE LIMITED,
(CIN: U24230GJ2004PTC045141)
Registered office at;
Asence House, Gorwa Road,
Vadodara-390 023

…Applicant Resulting Company

Appearance:

For the Applicants :Ms. Dharmishta N. Raval, Ld. Adv. for the Applicant Companies.

ORDER

1. The present joint application is filed by Sarabhai Chemicals (India) Private Limited and Asence Pharma Private Limited (Applicant Companies) under Section 230-232 and other applicable provisions of the Companies Act, 2013 (hereinafter referred to as "the Act") read with the Companies (Compromise, Arrangement and Amalgamations) Rules, 2016. By this application, the Applicant Companies are seeking appropriate directions for dispensation of meeting of the Equity Shareholders and appropriate direction for convening and holding of the meetings of the Secured Creditors and Unsecured Creditors, in respect of the Scheme of Arrangement involving demerger by transfer and vesting of the "Oncology and

Profertility Division" of Sarabhai Chemicals (India) Private Limited ("Demerging Company") to Asence Pharma Private Limited ("Resulting Company") and their respective Shareholders ('the Scheme'), with effect from the Appointed Date on the agreed terms and conditions as set out in the Scheme annexed with the application in accordance with Sections 230 to 232 of the Companies Act, 2013 and other applicable provisions of the Act.

2. It is submitted that the registered office of both the Applicant Companies are situated within the territorial jurisdiction of the Registrar of Companies, Ahmedabad, Gujarat, which are falling under the jurisdiction of this Tribunal.

3. It is submitted that the Applicant Demerged Company having CIN: U24231GJ2004PTC043478 is a private limited company and was originally incorporated on 21st January, 2004 under the provisions of the Companies Act, 1956 as Senaru Formulations Private Limited. Subsequently, the name of the Company was changed to Sarabhai Chemicals (India) Private Limited and fresh certificate was obtained on 21.05.2015 with its registered office at Shantisadan, Mirzapur Road, Ahmedabad-380001. As on 31st March 2022, the Authorised Share Capital of the Applicant Demerged Company is as follows:

Authorized Share Capital	Amount (INR)
10,00,000 Equity Shares of Rs.10/- each	1,00,00,000/-
Total	**1,00,00,000/-**
Issued, Subscribed and Paid up Share Capital	
9,94,000 Equity Shares of Rs.10/- each	99,40,000/-
Total	**99,40,000/-**

Subsequent to 31st March, 2022 there has been increase in the authorized share capital by Rs.8,90,00,000/- and paid up equity share capital by Rs. 8,90,60,000/- in compliance with the relevant provisions of the Companies Act, 2013 as on the date of Board meeting sanctioning the Scheme.

4. The Applicant Demerged Company is engaged in the business of dealing in Oncology & Profertility Products and online retailing of non-prescription/Over the Counter (OTC) products.

5. It is submitted that the Applicant Resulting Company having CIN: U24230GJ2004PTC045141 is a Private Limited Company and was incorporated, under the provisions of the Companies Act, 1956. The registered office of the Applicant Resulting Company is situated at; Asence House, Gorwa Road, Vadodara-390023, Gujarat. As on 31st March 2022, the Authorised Share Capital of the Applicant Resulting Company is as follows:

Authorized Share Capital	**Amount (INR)**
1,00,000 Equity Shares of Rs.10/- each	10,00,000/-
90,00,000 2% Redeemable Non-Cumulative Non-Convertible Preference Shares	900,00,000/-
Total	**9,10,00,000/-**
Issued, Subscribed and Paid up Share Capital	
99,657 Equity Shares of Rs.10/- each	9,96,570/-
90,00,000 2% Redeemable Non-Cumulative Non-Convertible Preference Shares	900,00,000/-
Total	**9,09,96,570**

The authorized, issued, subscribed, and paid-up share capital of the Applicant Resulting Company is the same as above on the date of meeting of the Board held for sanctioning the Scheme.

6. The Applicant Resulting Company is engaged in the business of trading and marketing of many pharmaceutical products including Oncology and Profertility products.

7. The Applicant Companies are empowered by their respective Memorandum and Articles of Association to enter into the Scheme of Arrangement. Copies of the Memorandum and Articles of Association of both the Applicant Companies are annexed with the application.

8. The Board of Directors of both the Applicant Companies in their respective Board Meetings held on 13th January, 2023, passed a resolution approving the proposed Scheme as placed before the Board. Copies of the Board Resolutions are annexed with the application. The Applicant Companies have filed their latest Audited Financial Statement as on 31st March, 2022 along with the application. The Applicant Companies have filed its Provisional Financial Statement as on 31st December, 2022 along with the application.

9. Both the Applicant Companies have filed the certificates from the respective Statutory Auditors confirming the proposed accounting treatment being in conformity with the applicable Accounting Standards u/s. 133 of the Companies Act, 2013 read with Rule 7 of the Companies (Accounts) Rules, 2014.

10. The Applicant Companies have submitted that no investigation or proceedings against the Applicant Companies under Section 210 to 226 of the Companies Act, 2013 as well as Section 235 to 251 of the Companies Act, 1956 are pending.

11. The Applicant Companies have further submitted that the provisions of the Competition Act, 2002 are not applicable in the present case. Hence, no notice is required to be issued to the Competition Commission of India.

12. It is further submitted that notice to RBI is not required as no shares are proposed to be issued by the Demerged Company and also there are no Foreign Shareholders in the Demerged Company and Resulting Company and no shares are proposed to be issued to any non-resident.

13. A copy of the Valuation Report recommending Equity Share Exchange ratio obtained from registered Valuer Mr. Parth Gopalbhai Shah (Registered Number. IBBI/RV/06/2020/13086) is placed on record.

14. The rationale for the Scheme is as follows:

"Resulting Company is engaged in the business of trading and marketing of many pharmaceutical products including Oncology & Profertility products.

The Demerged Company is engaged in the business of dealing in Oncology & Profertility products and online retailing of non-prescription/ Over the Counter (OTC) products. The products sold by the Oncology and Profertility division uses the raw material/feedstock of the Resulting Company for manufacturing

of its products. The management of demerged company has identified certain growth focused business such as prescription and Over the Counter (OTC) products and intends to reorganize its product portfolio and its market positioning.

Accordingly, as a part of overall business re-organization plan of demerged company and for optimum growth and development of Oncology and Profertility division, the management of the demerged and resulting company is considering for demerger of Oncology and Profertility division and vesting of the same to the Resulting Company for achieving business synergies and providing focused growth strategy.

Resulting Company would be manufacturing API for major products of Demerged Company in its proposed new plant. With the vesting of Oncology and Profertility divisions of Demerged Company with Resulting Company shall result in to strategic business synergy.

The demerger would inter-alia result in the following benefits:

• Administrative efficiencies: The management believes that the scheme will result in economies in business operations, provide optimal utilization of resources and greater administrative efficiencies.

• Focused growth strategy: The scheme will allow the management to have a focused growth strategy for each of the businesses.

• Unlocking value: The proposed demerger of the Oncology and Profertility division will unlock the value for the existing shareholders.

• It will enable the demerged Company to focus on online retailing of non-prescription/ Over the Counter (OTC) products."

15. With respect to the Applicant Demerged Company, it is stated that:

a) There are 7 (seven) Equity Shareholders in the Applicant Demerged Company. The list of shareholders as certified by the Chartered Accountant is annexed with the Application. The Applicant Demerged Company has placed on record the Original Consent Affidavits of the Equity Shareholders. The Applicant Demerged Company is seeking appropriate directions for dispensing with the holding and convening meeting of the Equity Shareholders of the Applicant Demerged Company.

b) The Applicant Demerged Company has stated that as on 10th February, 2023 there are Nil Secured Creditors in the Applicant Demerged Company. The list of Secured Creditors as certified by the Chartered Accountant is annexed with the Application. The Applicant Demerged Company is seeking appropriate directions for dispensing with the holding and convening meeting of the Secured Creditors of the Applicant Demerged Company.

c) The Applicant Demerged Company has stated that as on 10th February 2023, there are 36 Unsecured Creditors amounting to Rs. 9,10,78,333/- (Rupees Nine Crores Ten Lakhs Seventy-Eight Thousand Three Hundred and Thirty-Three Only) in the Applicant Demerged Company. The list of Unsecured Creditors as certified by the Chartered Accountant is annexed with the Application. The Applicant Demerged Company is seeking appropriate directions for

holding and convening meeting of the Unsecured Creditors of the Applicant Demerged Company.

16. With respect to the Applicant Resulting Company, it is stated that:

a) The list of Equity and Preference Shareholders for Applicant Resulting Company as certified by the Chartered Accountant is annexed with the Application. The Applicant Resulting Company has placed on record the Original Consent Affidavit of the Equity and Preference Shareholders. The Applicant Resulting Company is seeking appropriate directions for dispensing with the holding and convening meeting of the Equity and Preference Shareholders of the Applicant Resulting Company.

b) The Applicant Resulting Company has stated that as on 10th February 2023, there are 3 Secured Creditors amounting to Rs. 11,04,49,853/- (Rupees Eleven Crores Four Lakhs Forty-Nine Thousand Eight Hundred and Fifty-Three Only) in the Applicant Resulting Company. The list of Secured Creditors as certified by the Chartered Accountant is annexed with the Application. The Applicant Resulting Company is seeking appropriate directions for holding and convening the meeting of the Secured Creditors of the Applicant Resulting Company.

c) The Applicant Resulting Company has stated that as on 10th February 2023, there are 79 Unsecured Creditors amounting to Rs. 30,66,43,188/- (Rupees Thirty Crores Sixty-Six Lakhs Forty-Three Thousand One Hundred and Eighty-Eight Only) in the Applicant Resulting Company. The list of Unsecured Creditors as certified by the Chartered Accountant is

annexed with the Application. The Applicant Resulting Company is seeking appropriate directions for holding and convening meeting of the Unsecured Creditors of the Second Applicant Company.

17. Taking into consideration the submissions and documents filed therewith, we issue the following directions:

i) <u>In relation to the Applicant Demerged Company</u>

a) <u>With respect to Equity Shareholders:</u>

The meeting of the Equity Shareholders of the Applicant Demerged Company is hereby dispensed with, in view of the consent affidavits attached with the application.

b) <u>With respect to Secured Creditors:</u>

The meeting of the Secured Creditors of the Applicant Demerged Company is not required as there are no Secured Creditors.

c) <u>With respect to Unsecured Creditors:</u>

The meeting of the Unsecured Creditors of the Applicant Demerged Company as per the list of the unsecured creditors as on 10th February, 2023 shall be convened and held on the 20th September, 2023 at 12.30 P.M at Shantisadan, Mirzapur Road, Ahmedabad -380001, Gujarat, India for the purpose of considering and, if thought fit, approving with or without modifications the proposed Scheme.

ii) <u>In relation to the Applicant Resulting Company</u>

a) <u>With respect to Equity Shareholders:</u>

The meeting of the Equity Shareholders of the Applicant Resulting Company is hereby dispensed

with, in view of the consent affidavits attached with the application.

b) With respect to Preference Shareholders:

The meeting of the Preference Shareholders of the Applicant Resulting Company is hereby dispensed with, in view of the consent affidavits attached with the application.

c) With respect to Secured Creditors:

The meeting of the Secured Creditors of the Applicant Resulting Company as per the list of the Secured Creditors as on 10th February, 2023 shall be convened and held on the 21st September, 2023 at 1.00 P.M at Asence House, Gorwa Road, Vadodara 390023, Gujarat, India for the purpose of considering and, if thought fit, approving with or without modifications the proposed Scheme.

d) With respect to Unsecured Creditors:

The meeting of the Unsecured Creditors of the Applicant Resulting Company as per the list of the unsecured creditors as on 10th February, 2023 shall be convened and held on the 21st September, 2023 at 3.00 P.M at Asence House, Gorwa Road, Vadodara 390023, Gujarat, India for the purpose of considering and, if thought fit, approving with or without modifications the proposed Scheme.

18. At least one month before the date of the aforesaid meetings, an advertisement about the convening of the said meeting, indicating the day, date, place and time, as aforesaid, shall be published in “Free Press Journal” English daily, Ahmedabad

Edition and a Gujarati translation thereof in Loksatta, Gujarati Edition. The publication shall indicate the time within which copies of the scheme shall be made available to the concerned persons free of charge from the respective registered office of the Applicant Companies. The publication shall also indicate that the statement required to be furnished pursuant to Section 102 of the Act read with Sections 230 to 232 of the Act and the prescribed form of proxy can be obtained free of charge at the respective registered office of the Applicant Companies in accordance with second proviso to sub-section (3) of Section 230 and Rule 7 of the Companies (CAA) Rules, 2016.

19. In addition, at least one month before the date of the meetings of the Unsecured Creditors of the Applicant Companies and Secured Creditors of the Applicant Resulting Company to be held as aforesaid, a notice convening the said meeting, indicating the day, date, place and time, as aforesaid, together with a copy of the scheme, a copy of statement required to be furnished pursuant to Section 102 of the Act read with Sections 230 to 232 and Rule 6 of the Companies (CAA) Rules, shall be sent to each of the Secured Creditors and Unsecured Creditors of the Applicant Companies at their respective registered or last known addresses either by Registered post or Speed Post/Airmail or E-Mail or by Courier or by Hand Delivery. The Notices shall be sent to the Secured Creditors and Unsecured Creditors of the Applicant Companies with reference to the list of Secured and Unsecured Creditors appearing on the record of the Applicant Company as on 10th February, 2023.

20. Mr. Prashant Patel (Advocate) and, in his absence, Mr. Mehul Rajput (Advocate) shall be the Chairman/Chairperson of the aforesaid meetings of the Unsecured Creditors of the Applicant Companies and Secured Creditors of the Applicant Resulting Company.

21. PCS Mr. Shambhu Bhikadia and in his absence, PCS Mr. Ronak Aadeshara is appointed as the Scrutinizer for the aforesaid meetings of the Unsecured Creditors of the Applicant Companies and Secured Creditors of the Applicant Resulting Company.

22. The Chairman or Chairperson appointed for the aforesaid meetings shall issue the advertisements and send out the notices of the meeting referred to above. The Chairman/Chairperson is free to avail the services of the Applicant Companies or any agency for carrying out the aforesaid directions.

23. We direct the Applicant Companies to pay the Chairperson a sum of Rs.50,000/- and to the Scrutinizer a sum of Rs.25,000/- as their fees.

24. The Chairman or Chairperson shall have all powers under the Articles of Association of the Applicant Companies and also under the Rules in relation to the conduct of meetings, including for deciding any procedural questions that may arise at the meetings or adjournment(s) to the aforesaid scheme or resolution, if any, proposed at the aforesaid meeting by any person(s) and to ascertain the decision of the sense of the

meeting of the Secured Creditors and Unsecured Creditors by polling paper/ballot.

25. Voting by proxy/authorized representative is permitted provided that the proxy in the prescribed form/authorization duly signed by the person entitled to attend and vote at the aforesaid meeting is filed with the Applicant Company not later than 48 hours before the said meeting, vide Rule 10 of the Companies (CAA) Rules, 2016 read with Section 105 of the Act.

26. The quorum for the aforesaid meeting of Secured Creditors and Unsecured Creditors of both the Applicant Companies shall be as prescribed under Section 103 of the Companies Act, 2013.

27. The Chairman/Chairperson is to file an affidavit of not less than 7(seven) days before the date fixed for the holding of the meetings and to report to this Tribunal that the directions regarding issuance of notices and advertisement of the meeting have been duly complied with as per Rule 12 of the Companies (CAA) Rules, 2016.

28. It is further ordered that the Chairman or the Chairperson shall report to this Tribunal on the result of the meeting in Form No.CAA.4, verified by his affidavit, as per Rule 14 of the Companies (CAA) Rules, 2016 in from No.CAA.4 within seven days.

29. In compliance of sub-section (5) of Section 230 and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the Applicant Companies shall

send a notice in Form No.CAA.3 along with disclosures mentioned under Rule 6, to (i) the Central Government through the Regional Director, North Western Region, (ii) the Registrar of Companies, Gujarat, and (iii) the Income Tax authorities concerned, stating that representations, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the proposed Scheme. The said notices shall be sent forthwith by registered post or by speed post or by courier or by hand delivery or by email at the office of the authority as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities, who desire to make any representation under sub-section (5) of Section 230, shall send the same to the Tribunal within a period of 30 days from the date of receipt of such notice, failing which it will be deemed that they have no representation to make on the proposed arrangement.

30. This Company Application is disposed of accordingly.

-SD-	-SD-
AJAI DAS MEHROTRA	**SHAMMI KHAN**
MEMBER (TECHNICAL)	**MEMBER (JUDICIAL)**

Swetambary-Steno/Aarti-LRA